

ARISTO EDUCATIONAL PRESS
HONG KONG DIPLOMA OF SECONDARY
EDUCATION EXAMINATION

(Mock Test 42)

Suggested Solution

Paper 1

1. B	11. A	21. C	31. D	41. A
2. A	12. D	22. A	32. D	42. B
3. C	13. C	23. B	33. C	43. A
4. D	14. A	24. B	34. C	44. D
5. C	15. B	25. C	35. B	45. D
6. A	16. D	26. B	36. B	
7. C	17. D	27. B	37. A	
8. B	18. D	28. D	38. D	
9. A	19. B	29. C	39. C	
10. D	20. C	30. A	40. A	

Explanation

1. Answer: B

Macy would choose the first option as the benefit of choosing the first option (the value of the first option) is higher than the cost (the value of the second option).

Option B is correct. This would reduce the value of the third option without affecting Macy's cost or benefit of choosing the first option.

Option A is incorrect. This would reduce the value of the first option, thus decreasing Macy's benefit of choosing the first option.

Option C is incorrect. This may increase the value of the third option to a level higher than that of the second option, so the cost of choosing the first option may change from the value of the second option to that of the third option.

Option D is incorrect. This would increase the value of the second option, thus increasing Macy's cost of choosing the first option.

2. Answer: A

(1) is correct. Deciding which country to locate the data center involves a decision regarding the production method and is related to the 'how to produce' problem.

(2) is correct. Hiring non-local doctors concerns what type of factors of production to use and is related to the 'how to produce' problem.

(3) is incorrect. Deciding what courses to offer concerns the kinds of services to produce and is related to the 'what to produce' problem.

3. Answer: C

Firm A is a public limited company, firm B is a private limited company and firm C may be a sole proprietorship or a partnership.

Option C is correct. A sole proprietorship or a partnership pays a lower profits tax rate than a public or private limited company.

Option A is incorrect. Both public and private limited companies are legal entities, so there is no difference in continuity between firm A and firm B.

Option B is incorrect. If firm C is a partnership, there is no upper limit on the number of its owners, and it may have more owners than firm A (which also has no upper limit) and firm B (up to 50).

Option D is incorrect. Ownership of a public limited company can be freely transferred without the consent of the other owners.

4. Answer: D

After privatisation, the shares of these companies cannot be freely traded on the stock market, reducing their liquidity.

Option A is incorrect. After privatisation, listed companies remain legal entities and can hold assets in their name.

Option B is incorrect. The size of a company is not necessarily related to whether it is listed or not.

Option C is incorrect. The transfer of ownership of these companies requires the consent of the other owners, reducing the risk of being taken over.

5. Answer: C

When one user uses the service, the system may be too busy to process another user's request, reflecting that the service is rival in consumption.

Option A is incorrect. People would prefer to have more AI image generation services, so it is an economic good, not a free good.

Option B is incorrect. Although the AI image generation service is an economic good, the explanation in the option does not align with the definition of economic goods.

Option D is incorrect. The AI image generation service is a consumer good, but the explanation in the option does not align with the definition of consumer goods.

6. Answer: A

(1) is correct. Having each reporter specialise in covering a specific type of news helps workers accumulate experience, increasing average labour productivity.

(2) is correct. Each reporter only needs to have a deep understanding of a specific area of knowledge, rather than learning all types of news writing, so training time is reduced.

(3) is incorrect. Having each reporter specialise in covering a specific type of news would not reduce the number of personal computers (capital goods) required.

7. Answer: C

As the ability of Mainland young persons to work in Hong Kong increases, their geographical mobility will increase.

Option A is incorrect. When companies employ young persons from Hong Kong to work in Mainland cities, the number of workers in Hong Kong will decrease. Even if the companies employ the same number of young persons from the Mainland to work in Hong Kong, the effect on Hong Kong's labour supply remains uncertain, depending on the number of working hours they provide.

Option B is incorrect. The question does not provide information on the productivity of Hong Kong young persons and Mainland young persons.

Option D is incorrect. The scheme has no significant effect on the ability and willingness of Hong Kong young persons to change from one occupation to another.

8. Answer: B

When a player is unable to play due to injury, the player's total pay will be reduced, allowing the team to transfer some of the risk of player injury to the player.

9. Answer: A

When the kitchen is expanded, internal economies of scale can be enjoyed through a higher degree of division of labour, which reduces the average cost of production.

Option B is incorrect. Regardless of whether the kitchen is expanded or a new branch is opened, discounts may be obtained by purchasing larger quantities of ingredients.

Option C is incorrect. Reducing average cost by expanding the existing production scale reflects internal economies of scale.

Option D is incorrect. Since both expanding the kitchen and opening a new branch are business expansions that produce the same product, neither can diversify business risks.

10. Answer: D

Output (units)	2	3	4	5	6
Original average cost (\$)	4	5	6	7	8
Original total cost (\$)	8	15	24	35	48
Original marginal cost (\$)	MC ₂	7	9	11	13

At the profit-maximising output level, marginal revenue equals marginal cost. The original profit-maximising output level is 5 units, reflecting a market price of \$11. At the new profit-maximising output level (3 units), marginal revenue (\$11) equals the new marginal cost (= the original marginal cost of the 3rd unit + the change in marginal cost), reflecting an increase of \$4 in marginal cost per unit of output.

Since both the marginal cost of the 1st unit and the marginal cost of the 2nd unit have increased by \$4, the total cost of the 2 units will increase by \$8 (= \$4 × 2).

Output (units)	2	3	4	5	6
New marginal cost (\$)	$MC_2 + 4$	11	13	15	17
New total cost (\$)	16 = (\$8 + \$4 × 2)	27	40	55	72

Original profit = Total revenue – Total cost = (\$11 × 5) – \$35 = \$20

New profit = (\$11 × 3) – \$27 = \$6

The profit will decrease by \$14.

11. Answer: A

X is a vertical backward integration because Full Organic Farm can provide factors of production (organic ingredients) to GreenLife, and GreenLife expanded its business to the previous stage of production.

Y is a lateral integration because organic food and healthy beverages are related but not directly competing goods.

12. Answer: D

There is excess demand for underground railway services during peak hours. Reducing the excess demand can shorten the waiting time for passengers.

(1) is correct. Bus services and underground railway services are substitutes. Increasing bus fare concessions for the elderly reduces their demand for underground railway services, and excess demand will decrease.

(2) is correct. When the train frequency increases, the supply of underground railway services will increase, and excess demand will decrease.

(3) is correct. Non-peak and peak-hour underground railway services are substitutes. If the underground railway company provides fare concessions during non-peak hours, the demand for underground railway services during peak hours will decrease, and excess demand will decrease.

13. Answer: C

The money price of high-quality fruits is usually higher than that of average-quality fruits. After a decrease in the transportation cost, the relative price of high-quality fruits (in terms of average-quality fruits) increases. According to the law of demand, the proportion of high-quality fruits sold will be lower, i.e. the proportion of average-quality fruits sold will be higher.

Before a decrease in the transportation cost, the ratio of high-quality fruits to average-quality fruits sold is 1:1.5 (= 40:60). After a decrease in the transportation cost, the ratio of high-quality fruits to average-quality fruits sold should be higher than 1:1.5.

(1): After a decrease in the transportation cost, the ratio of high-quality fruits to average-quality fruits sold is 1:1.5 (= 50:75). The ratio of average-quality fruits sold remains unchanged, which is inconsistent with the law of demand.

(2): After a decrease in the transportation cost, the ratio of high-quality fruits to average-quality fruits sold is 1:1.6 (= 50:80). The ratio of average-quality fruits sold increases, which is consistent with the law of demand.

(3): After a decrease in the transportation cost, the ratio of high-quality fruits to average-quality fruits sold is 1:1.4 (= 60:84). The ratio of average-quality fruits sold decreases, which is inconsistent with the law of demand.

14. Answer: A

When the demand for good X is downward-sloping and its supply is perfectly inelastic, the equilibrium quantity is determined solely by supply.

Option A is correct. When the demand for good X decreases, the equilibrium price will decrease and the equilibrium quantity will remain unchanged. When the supply increases, the equilibrium price will decrease and the equilibrium quantity will increase. To conclude, the equilibrium price will decrease and the equilibrium quantity will increase.

Option B is incorrect. When the demand for good X increases, the equilibrium price will increase and the equilibrium quantity will remain unchanged. When the supply decreases, the equilibrium price will increase and the equilibrium quantity will decrease. To conclude, the equilibrium price will increase and the equilibrium quantity will decrease.

Option C is incorrect. When the demand for good X increases, the equilibrium price will increase and the equilibrium quantity will remain unchanged. When the supply increases, the equilibrium price will decrease and the equilibrium quantity will increase. To conclude, the equilibrium price may increase, decrease or remain unchanged, and the equilibrium quantity will increase.

Option D is incorrect. When the demand for good X decreases, the equilibrium price will decrease and the equilibrium quantity will remain unchanged. When the supply decreases, the equilibrium price will increase and the equilibrium quantity will decrease. To conclude, the equilibrium price may increase, decrease or remain unchanged, and the equilibrium quantity will decrease.

15. Answer: B

(2) is correct. When the price of good X increases, the supply of good Y will decrease. As the demand for good Y is inelastic, the percentage increase in price will be greater than the percentage decrease in quantity demanded, and total revenue of good Y will increase.

(1) is incorrect. When the price of good X increases, the demand for good Y will decrease, and total revenue of good Y will decrease.

(3) is incorrect. When the price of good X increases, the supply of good Y will increase. As the demand for good Y is inelastic, the percentage decrease in price will be greater than the percentage increase in quantity demanded, and total revenue of good Y will decrease.

16. Answer: D

(1) is correct. When the price of raw materials used to produce good X increases, the supply of good X will decrease. As the demand for good X is inelastic, the percentage increase in price will be greater than the percentage decrease in quantity demanded, and consumers' total expenditure on good X will increase.

(2) is correct. When the government increases the effective quota for good X, the price of good X will decrease and the quantity transacted will increase. As the demand for good X is elastic, the percentage decrease in price will be smaller than the percentage increase in quantity demanded, and consumers' total expenditure on good X will increase.

(3) is correct. When the government imposes a per-unit tax on a substitute for good X, the price of the substitute will increase. Demand for good X will increase, and consumers' total expenditure on good X will increase.

17. Answer: D

Producers' total revenue (including the subsidy) = $(\$16 + \$2) \times 24 = \$432$

Option A is incorrect. The supply of good X is perfectly inelastic. If the government imposes a per-unit tax of \$2 on good X, the quantity transacted will remain at 24 units.

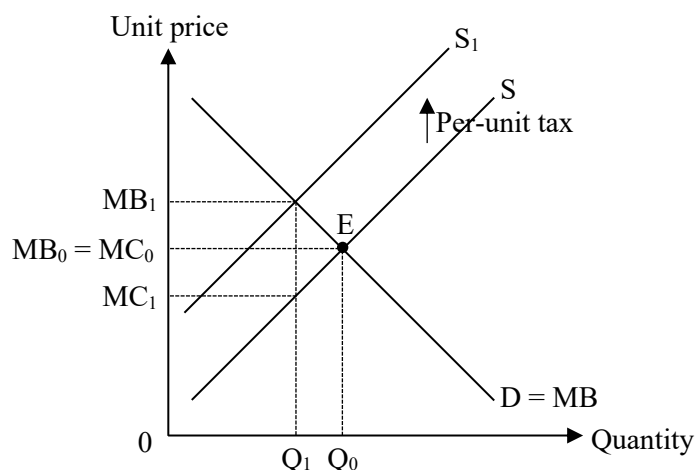
Option B is incorrect. The equilibrium price is \$16. The price floor set at \$14 is ineffective and the market for good X is in equilibrium.

Option C is incorrect. The equilibrium price is \$16. The price ceiling set at \$14 is effective and consumers' total expenditure on good X will be \$336 ($= \14×24).

18. Answer: D

The revenue of several banks is significantly higher than that of other banks, indicating that these banks have a higher market share. There are several dominant sellers in the market.

19. Answer: B



When the government imposes a per-unit tax on good X, the marginal benefit of the last unit will increase, while the marginal cost of the last unit will decrease.

20. Answer: C

The original producer surplus is area P_1cfe and the new producer surplus is area P_1deg . Producer surplus increases by area $cdef$.

Option A is incorrect. At Q_2 , marginal benefit is higher than marginal cost. There is a deadweight loss.

Option B is incorrect. The original consumer surplus is area bcP_1 and the new consumer surplus is area adP_1 . Consumer surplus increases by area $abcd$.

Option D is incorrect. The market for good X is in equilibrium, and both quantity demanded and quantity supplied is Q_2 .

21. Answer: C

Since the passer-by enjoyed the performance without compensating the performers, the performers brought external benefits to the passersby, which is an example of divergence between private and social benefits.

Option A is incorrect. When a customer decides whether to visit a coffee shop, he considers the services provided by the coffee shop (such as free Wi-Fi), and the benefits provided by these services are internalised.

Option B is incorrect. Initially, those who fed feral pigeons affected the resident's living without providing any compensation. External cost existed. However, after the government strengthened the enforcement of the ban on feeding feral pigeons, the pollution problem improved, reducing the divergence between private and social costs. This example did not result in a divergence between private and social benefits.

Option D is incorrect. When a student decides whether to enroll in a university, he considers the services provided by the university (such as the services of the university library). The tuition includes his right to use the services, and the benefits provided by the services are internalised.

22. Answer: A

(1) is correct. As Country A's Lorenz curve is closer to the line of perfect income equality, Country A's Gini coefficient is lower than that of Country B.

(2) is correct. The bottom 40% of households in Country A earn 20% of the total income, while the bottom 60% of households in Country B earn less than 20% of the total income.

(3) is incorrect. The top 20% of households in Country A earn about 40% of the total income, while the top 20% of households in Country B earn more than 60% of the total income. The top 20% of households in Country A account for a lower proportion of the total income than that of Country B.

23. Answer: B

The income inequality of freelance photographers mainly comes from differences in creativity, skill level and popularity. Top photographers can attract high-end clients and charge higher fees, while average photographers earn less. In contrast, bus drivers' income is mainly determined by a fixed monthly wage. With fewer differences in skills, the income gap will be narrower.

24. Answer: B

The contribution of the production chain to Country A's GDP at factor cost
 $= \$120 + (\$280 + \$420 + \$30 - \$120 - \$200) + (\$480 - \$280) + (\$600 - \$420) - \$80 = \830

25. Answer: C

$GNI = GDP + \text{Factor income earned by residents outside the economic territory} - \text{Factor income earned by non-residents within the economic territory}$

Options A and B are incorrect. They are factor income earned by non-residents within the economic territory.

Option D is incorrect. Since the engineer has worked in Korea for more than one year, he is no longer a resident of Hong Kong and the income he earns does not belong to factor income earned by residents outside the economic territory.

26. Answer: B

(1) is correct. $GDP \text{ at market prices} = GDP \text{ at factor cost} + \text{Indirect taxes} - \text{Subsidies}$

Since indirect taxes are smaller than subsidies, GDP at market prices is smaller than GDP at factor cost.

(3) is correct. $GNI = GDP + \text{Net factor income from abroad}$

As net factor income from abroad is negative, GNI is smaller than GDP.

(2) is incorrect. $\text{Net exports of goods} = \text{Total exports of goods} - \text{Total imports of goods}$

$\text{Net exports of goods} = \$105 \text{ million} - \$180 \text{ million} = -75 \text{ million}$

$\text{Net exports} = \text{Net exports of goods} + \text{Net exports of services} = -75 \text{ million} + \$40 \text{ million} = -35 \text{ million}$

Net exports is negative.

27. Answer: B

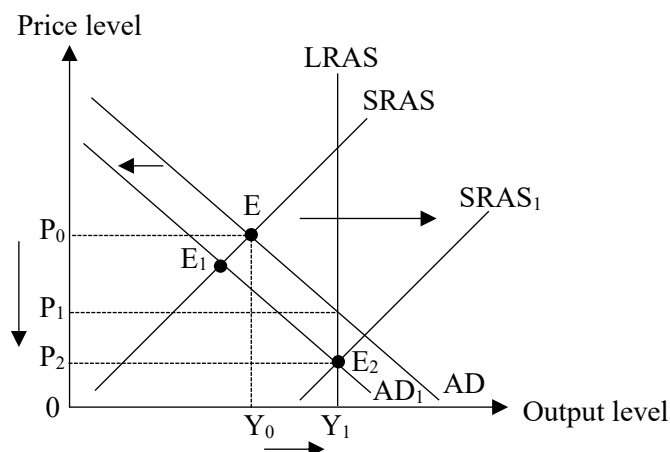
An increase in labour cost will increase the cost of production for firms and short run aggregate supply will decrease. A reduction in government spending on national defense will reduce government expenditure and aggregate demand will decrease. To conclude, the output level will decrease and the inflationary (output) gap will be narrowed.

Option A is incorrect. The government's provision of production subsidies to firms will reduce the cost of production for firms and short run aggregate supply will increase. As the trading partner of the economy experiences an economic recovery, net exports will increase and aggregate demand will increase. To conclude, the output level will increase and the inflationary (output) gap will be widened.

Option C is incorrect. When the technological level of production increases, short run aggregate supply and long run aggregate supply will increase. When people have an increased preference for imported consumer goods, net exports will decrease and aggregate demand will decrease. The change in the output level in the short run will be uncertain, while the potential output level will increase and the change in the inflationary (output) gap will be uncertain.

Option D is incorrect. When the typhoon caused firms to suspend production, short run aggregate supply will decrease. When firms buy more inventories, investment expenditure will increase and aggregate demand will increase. To conclude, the change in the output level will be uncertain.

28. Answer: D



When people's desire to save increases, private consumption expenditure will decrease and aggregate demand will decrease. The aggregate demand curve will shift from AD to AD₁. The short run equilibrium point will be E₁. The output level will be lower than Y₀, and the price level will be lower than P₀.

In the long run, the short run aggregate supply curve will shift from SRAS to SRAS₁. The long run equilibrium point will be E₂. The output level will be Y₁ and the price level will be P₂, which is lower than P₁.

29. Answer: C

When the government increases its subsidies for research and development to firms, investment expenditure will increase and aggregate demand will increase. In the long run, research and development will increase the economy's productive capacity and long run aggregate supply will increase.

30. Answer: A

(1) is correct. When the currency of Country A depreciates significantly, the purchasing power of the currency will decrease. When people start to barter or use US dollars to trade, it means that the acceptance of Country A's currency as a means of payment has decreased.

(2) is correct. People store their purchasing power in US dollars.

(3) is incorrect. Although the US dollar is widely used in Country A, the question does not mention whether the US dollar is legally obliged to be accepted in settlements of payments and debts by creditors.

31. Answer: D

Reserves + Loans = Deposits

When reserves decrease by \$100 million and deposits decrease by \$400 million, this means that loans decrease by \$300 million.

Option A is incorrect. Monetary base = Cash in public circulation + Bank reserves

When the public withdraw money and remit it overseas, cash in public circulation will remain the same and bank reserves will decrease by \$100 million. Monetary base will decrease by \$100 million.

Option B is incorrect. Money supply = Cash in public circulation + Bank deposits

Bank deposits decrease by \$400 million, so the money supply decreases by \$400 million.

Option C is incorrect. If banks hold excess reserves before the withdrawal, the required reserve ratio may not be equal to 25%.

32. Answer: D

Required reserve ratio = $(\$200 / \$800) \times 100\% = 25\%$

When the central bank lowers the required reserve ratio by 5 percentage points, the new required reserve ratio is 20%.

After deposit creation, the maximum possible amount of deposits = $\$300 \times (1/20\%) = \$1,500$

Maximum possible amount of loans = $\$1,500 - \$300 = \$1,200$

33. Answer: C

When people are more concerned about bond defaults, the asset demand for money will increase, and the money demand will increase. The nominal interest rate will increase and the quantity of money will remain unchanged.

The government increasing the amount of government bonds it buys from the public each month will increase the money supply. The nominal interest rate will decrease, and the quantity of money will increase.

To conclude, the nominal interest rate may increase or decrease, and the quantity of money will increase.

34. Answer: C

When people expect inflation to occur, the value of real assets will generally rise with inflation, and people will prefer to hold real assets to avoid a decrease in their purchasing power.

Option A is incorrect. Inflation refers to changes in the general price level (i.e., the average level of prices of goods and services) and does not mean that the prices of all goods and services will increase.

Option B is incorrect. The impact of this policy on the price level may be one-and-for-all, and a one-and-for-all price increase is not inflation.

Option D is incorrect. When unanticipated inflation occurs, the real value (purchasing power) of the money repaid by the debtor will decrease, and the debtor will gain while the lender will lose. Wealth will be redistributed from lenders to debtors.

35. Answer: B

Actual real interest rate = Nominal interest rate – Actual inflation rate = 3% – 4% = –1%

Real rate of return on holding cash = Nominal rate of return on holding cash – Actual inflation rate = 0% – 4% = –4%

36. Answer: B

Quantity theory of money: $MV = PY$, where M = money supply, V = velocity of circulation of money, P = price level and Y = real output.

Assume V is constant.

When the money supply (M) decreases, nominal output (PY) will decrease by the same percentage.

37. Answer: A

Unemployment rate = $(\text{Unemployed population} / \text{Labour force}) \times 100\%$

Country A's unemployed population has decreased, while its unemployment rate has increased. The situation will occur when the percentage decrease in the labour force is greater than the percentage decrease in the unemployed population.

Option A is correct. When more people quit their jobs and search for jobs in other regions, the labour force will decrease. If their job vacancies are filled by the unemployed, the unemployment rate will decrease. Since some of their positions are not filled, the percentage decrease in the labour force may be greater than the percentage decrease in the unemployed population, resulting in an increase in the unemployment rate.

Option B is incorrect. When the government increases the statutory minimum wage level, some employers may cut the number of employees, resulting in an increase in the unemployed population.

Option C is incorrect. If the government lowers the requirements for companies to apply for the importation of foreign workers, more foreign workers will come to Country A to work, and the labour force will increase.

Option D is incorrect. When the government reduces assistance to the unemployed, more people may become more active in looking for jobs for economic reasons, the unemployed population will decrease, and the unemployment rate will therefore also decrease.

38. Answer: D

The same amount of cash will increase the income of low-income people by a larger percentage, making the income distribution more even. Distributing cash by the government will increase people's disposable income, private consumption expenditure and aggregate demand will increase. The price level will increase.

Option A is incorrect. Although raising the standard tax rate of the salaries tax can make income distribution more even, it will reduce people's disposable income. Private consumption expenditure and aggregate demand will decrease, and the price level will decrease.

Option B is incorrect. When the government imposes a tariff on all imported consumer goods, importers will raise their prices to shift the tax burden on to consumers. Prices of these goods will increase. As the tax burden accounts for a higher percentage of income from low-income group, income distribution will become more uneven. When the government imposes a tariff on all imported consumer goods, people will buy fewer imported goods. Net exports and aggregate demand will increase, the price level will increase.

Option C is incorrect. People who receive unemployment benefits are mainly low-income people. Tightening the requirements for receiving unemployment benefits will reduce their income and make income distribution more uneven. When the number of people eligible for unemployment benefits decreases, people's disposable income will decrease. Private consumption expenditure and aggregate demand will decrease, and the price level will decrease.

39. Answer: C

(1) is incorrect. It shows a regressive tax.

(4) is incorrect. It shows a proportional tax.

40. Answer: A

The contractionary effect of an increase in taxes is weaker than the expansionary effect of an increase in government expenditure by the same amount. Therefore, when the government increases expenditure and taxes by the same amount, aggregate demand will increase.

41. Answer: A

(1) is correct. Raising the required reserve ratio will reduce money supply, and the interest rate will increase. Consumption and investment will decrease, and aggregate demand will decrease. Thus, it is a contractionary monetary policy.

(2) is incorrect. The Bank of China is a commercial bank, not China's central bank. The issuance of bonds by a commercial bank does not constitute monetary policy.

(3) is incorrect. Providing cash subsidies to consumers is not a monetary policy, but a fiscal policy.

42. Answer: B

The opportunity cost of producing 1 unit of good Y in Country A = 1.5 (= 3 / 2) units of good X

The opportunity cost of producing 1 unit of good Y in Country B = 3 (= 1.2 / 0.4) units of good X

The range of terms of trade over which exchange between the two countries is mutually beneficial is $2X (= 1.5X + 0.5X) < 1Y < 2.5X (= 3X - 0.5X)$, that is, $0.4Y < 1X < 0.5Y$.

43. Answer: A

(1) is correct. When the international price decreases, domestic price will also decrease and domestic production will decrease.

(2) is correct. When the international price decreases, the import volume will increase. Assuming the per-unit tariff remains unchanged, the government's tariff revenue will increase.

(3) is incorrect. The price net of tax will decrease and the import volume will increase. The total value of imports net of tax may increase, decrease, or remain unchanged.

44. Answer: D

Balance of trade in services in both 2023 and 2024 were negative, which means that exports of services were smaller than imports of services.

Option A is incorrect. The question does not provide information about external factor income flow and current transfer, so the current account balance cannot be determined.

Option B is incorrect. The decline in the balance of trade in goods in 2024 might have been caused by the imports of goods rising to a level greater than the exports of goods, while exports of goods might have increased, decreased or remained unchanged.

Option C is incorrect. The decline in the balance of trade in goods in 2024 might have been caused by the exports of goods falling to a level smaller than the imports of goods, while imports of goods might have increased, decreased or remained unchanged.

45. Answer: D

When the US dollar depreciates against other currencies, the Hong Kong dollar will also depreciate against these currencies. The prices of goods and services in Hong Kong (in terms of foreign currencies) will decrease, the cost of traveling to Hong Kong (in terms of foreign currencies) will decrease. More tourists from these currency zones will visit Hong Kong.

Option A is incorrect. Only the note-issuing banks can exchange US dollars with the Hong Kong Monetary Authority at the linked exchange rate.

Option B is incorrect. Only Hong Kong's monetary base (i.e. cash in public circulation + bank reserves) is fully backed by US dollars.

Paper 2

Section A (44 marks)

1. (a) Lateral expansion, (1 mark)
because LH Group expanded its business into the production of related but not directly competing goods. (1 mark)
- (b) Public limited company / Listed company. (1 mark)
An advantage:
- shares are freely transferable
- any reasonable answer
(Mark the **FIRST** point only) } 1@, max: 1 mark
- (c) Economic good. (1 mark)
The meat is produced from scarce resources, which have alternative uses. (1 mark)

2. Verbal elaboration:

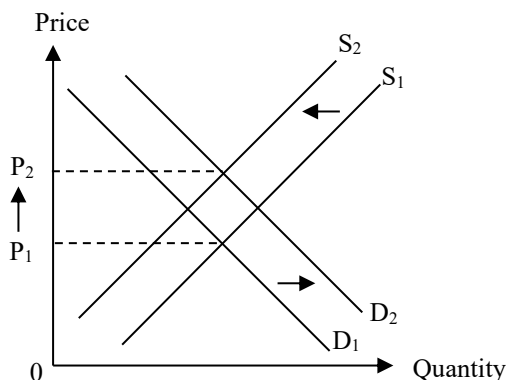
When the gasoline prices increase, the demand for electric cars will increase.

When the US government imposes tariffs on metals used in the production of electric cars, the cost of producing electric cars will increase and the supply will decrease.

The equilibrium price of electric cars produced in the United States will increase. (3 marks)

Illustrate in the diagram:

- rightward shift of demand curve (1 mark)
- leftward shift of supply curve (1 mark)
- an increase in the equilibrium price (1 mark)



3. (a) Recovery. (1 mark)
- (b) General economic phenomena:
- Business confidence/level of investment/level of consumption increases.
- Unemployment rate decreases.
- Any reasonable answers
(Mark the **FIRST TWO** points only) } 1@, max: 2 marks
4. (a) When investors sell their shares and convert them into cash, the asset demand for money will increase. The money demand will increase, and the nominal interest rate will increase. (3 marks)
- (b) When the actual inflation rate is lower than the expected inflation rate, the actual real interest rate will be higher than the expected real interest rate, so the holders of the fixed-rate bonds will gain. (2 marks)

- (c) Store of value. (1 mark)

People can store purchasing power in the form of cryptocurrencies for future spending on goods and services. (1 mark)

5. Verbal elaboration:

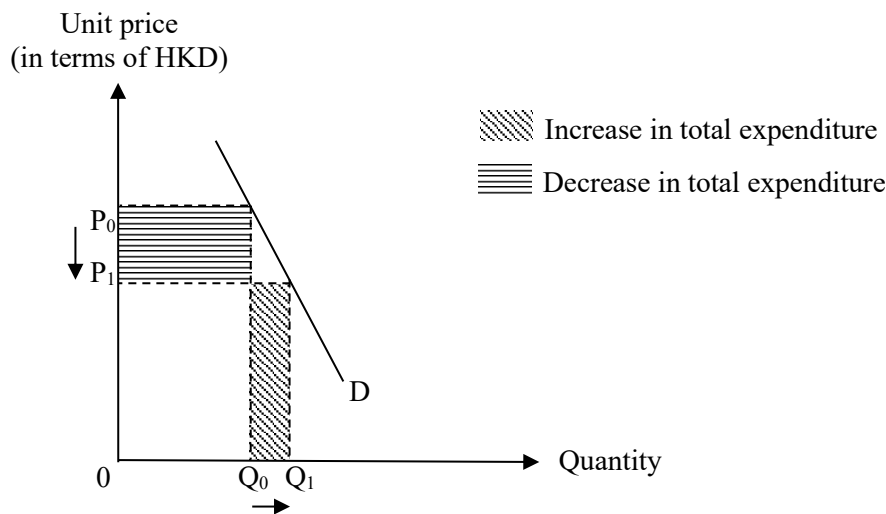
There is an appreciation of the USD against the JPY. Under the linked exchange rate system, the HKD also appreciates against the JPY.

The price of goods imported from Japan by Hong Kong (in terms of HKD) will decrease. If the demand for Japanese goods in Hong Kong is inelastic, the percentage increase in quantity demanded will be smaller than the percentage decrease in price. Hong Kong's total expenditure on Japanese goods (in terms of HKD) will decrease. (6 marks)

Illustrate in the diagram:

- correct positions of increase in total expenditure and decrease in total expenditure (1 mark)

- decrease in total expenditure > increase in total expenditure (1 mark)



6. (a) Required reserve ratio = $[(2,000 - 500) \text{ million} / \$6,000 \text{ million}] \times 100\% = 25\%$ (1 mark)

(b) Possible reasons:

- Banks may deliberately keep more reserves than required to prepare for sudden withdrawals of funds by a large number of depositors.
- There is insufficient demand for loans.
- Any reasonable answers

1@, max: 2 marks

(Mark the **FIRST TWO** points only)

(c) Original money supply = \$6,000 million

Maximum possible amount of deposits = $\$ (2,000 - 800) \text{ million} \times (1/25\%) = \$4,800 \text{ million}$

Maximum possible change in money supply = $\$(4,800 - 6,000) \text{ million} = -\$1,200 \text{ million}$

(4 marks)

7. (a) After specialisation, the output of computers increased by 80 (= 100 - 20) units, while the output of food decreased by 60 units.

Opportunity cost of producing 1 unit of computers = 0.75 (= 60/80) units of food (2 marks)

(b) Computers exported by Country A = 70 (= 100 - 30) units

Food imported by Country A = 84 (= 84 - 0) units

Therefore, 70 units of computers can be exchanged for 84 units of food. The terms of trade is 1

unit of computers = 1.2 (= 84/70) units of food. (2 marks)

- (c) Country B's total gain from importing 70 units of computers = 17.5 units of food. Country B's gain from importing 1 unit of computers is 0.25 units of food.
 Country B's gain from importing 1 unit of computers = Opportunity cost of producing 1 unit of computers – Terms of trade – Per-unit transportation cost
 0.25 units of food = Country B's opportunity cost of producing 1 unit of computers – 1.2 units of food – 0.1 units of food
 Country B's opportunity cost of producing 1 unit of computers = 1.55 units of food (3 marks)

Section B (60 marks)

8. (a) An indirect tax, because the burden can be shifted from the party being taxed to other parties. (2 marks)
- (b) An advantage:
- The tax revenue from general sales tax is more stable. Since consumption fluctuates less than income, the government's general sales tax revenue from consumption will fall less during an economic downturn than the tax revenue from direct taxes (such as salaries tax).
 - Any reasonable answer
- (Mark the **FIRST** point only)
- (b) A disadvantage:
- General sales tax is a regressive tax. Since the same amount of sales tax accounts for a larger proportion of the income of the low-income group than that of the high-income group, the income distribution will become more uneven. On the other hand, raising the standard tax rate of the salaries tax will reduce the income of the high-income group, while the low-income group will not be affected, which will help improve income inequality.
 - Any reasonable answer
- (Mark the **FIRST** point only)

2@, max: 2 marks

2@, max: 2 marks

(c) Verbal elaboration:

The production costs of firms will increase.

(1 mark)

The short run aggregate supply will decrease.

(1 mark)

The output level will decrease, and the deflationary (output) gap will be widened.

(1 mark)

Illustrate in the diagram:

- correct position of the original deflationary (output) gap

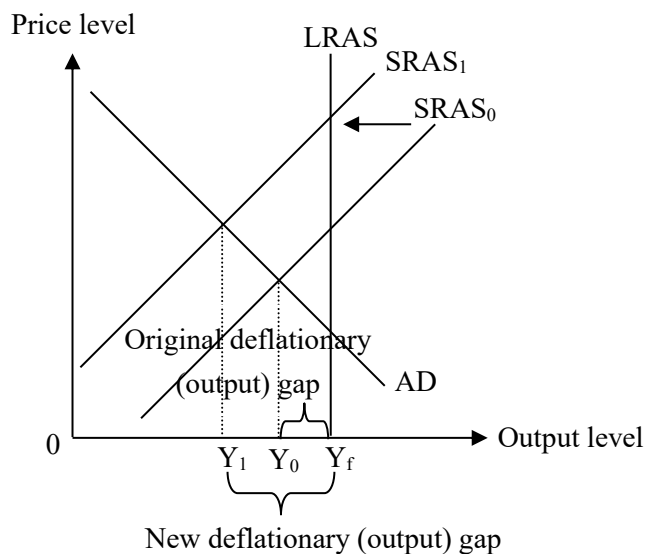
(1 mark)

- leftward shift of the short run aggregate supply curve

(1 mark)

- a decrease in output level, a widened deflationary (output) gap

(1 mark)



(d) Lowering the required reserve ratio/lowering the discount rate/printing more money. The money supply will increase, and the interest rate will decrease. Consumption and investment will increase, and aggregate demand will increase. The output level will increase and the government's direct tax revenue will increase.

(4 marks)

9. (a) No,

(1 mark)

because these chickens are not sold to the market, they are not counted in production.

(1 mark)

(b) (i) Allocative function.

(1 mark)

When the price of eggs increases, it motivates people to allocate more resources to egg production.

(1 mark)

(ii) Possible reasons:

- Firms receive discounts for purchasing production materials (such as feed) in large quantities.
- Firms can purchase and fully utilise more advanced machines to improve production efficiency.
- Firms can afford to employ more professionals. Efficiency can be raised with a wider scope of specialisation.
- Any reasonable answers

(Mark the **FIRST TWO** points only)

2@, max: 4 marks

- (c) Vaccination can reduce the chances of other egg farms becoming infected. Since the vaccinated egg farms do not receive compensation from other egg farms (which have a reduced risk of infection), there is an external benefit. The marginal social benefit is greater than the marginal social cost, which means that the number of vaccinated chickens is below the efficient level. Providing subsidies for vaccinating chickens against bird flu can increase the number of vaccinated chickens (by reducing the marginal private cost) such that the number of vaccinated chickens comes closer to the efficient level, and the difference between marginal social benefit and marginal social cost is reduced. (4 marks)

- (d) The current account balance of Country B will be worsened because imports of goods will increase. (2 marks)

10. (a) How to produce. (1 mark)

The decision to hire non-locally trained medical staff is about what quantities and kinds of resources to use to produce medical services. (1 mark)

- (b) Verbal elaboration:

According to Source C, the proportion of people aged 85 and above in the total population has increased. The demand for medical services will increase. (1 mark)

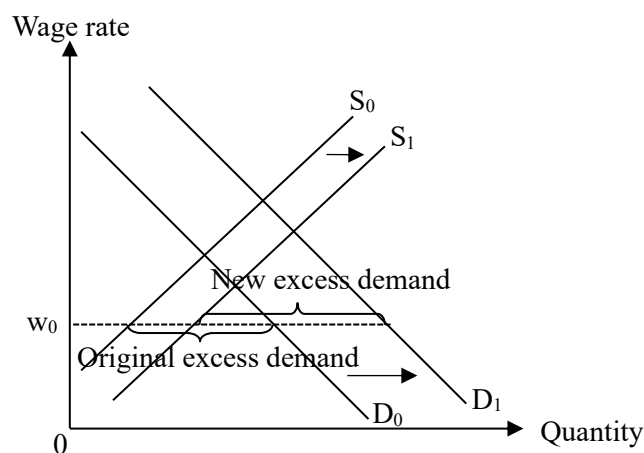
As doctors are factors of production of medical services, demand for doctors will increase.

(1 mark)

If the increase in supply is smaller than the increase in demand, at the prevailing wage rate, excess demand will increase. (1 mark)

Illustrate in the diagram:

- wage rate remains unchanged (1 mark)
- rightward shift of demand curve (1 mark)
- rightward shift of supply curve (1 mark)
- new excess demand > original excess demand (1 mark)



- (c) Full cost = monetary cost + time cost. The low-income person will choose to use public medical services because the time cost of waiting (i.e. the highest-valued alternative use of the waiting time) is lower than the additional monetary cost (i.e. the price difference between private and public medical services). (3 marks)

- (d) $\text{Unemployment rate} = (\text{Unemployed population} / \text{Labour force}) \times 100\%$

When more non-locally trained doctors are hired, the labour force will increase. According to the current affairs commentator, non-locally trained doctors will not replace any locally trained doctors, the number of unemployed people will remain unchanged, and the unemployment rate will decrease. (4 marks)

- (e) Marks awarded for effective communication (EC: max 2 marks)

Marks	Performance
2	• <i>Arguments supported with the source/data and appropriate economic theories</i> • <i>Relevant materials presented</i> • <i>Well-organised and coherent answers presented without repetition of ideas</i> • <i>Ideas clearly and fluently expressed with appropriate use of language/words/terms/symbols</i>
1	• <i>Arguments presented with some support of the source/data and economic theories</i> • <i>Some irrelevant materials presented</i> • <i>Answers presented in a less organised way with some repetition of ideas</i> • <i>A clear message conveyed with some inappropriate use of language/words/terms/symbols</i>
0	• <i>Arguments presented with no support of the source/data and economic theories</i> • <i>Materials unrelated to the gist of the question presented</i> • <i>Inconsistent arguments presented</i> • <i>Limited ideas expressed with inappropriate use of words/terms/symbols</i>

The maximum marks for content are 12 marks. Answers may include the following:

Low-income people who are concerned about waiting time:

- When the government hires more non-locally trained medical staff, the resulting increase in manpower will increase the supply of medical services in public institutions. Excess demand will be reduced and the waiting time may be shortened. Low-income people will prefer Suggestion I.
- Even if the government partially subsidised the consultation fees for public hospital patients to seek treatment at private medical institutions, due to the significant price gap between public and private medical services, some low-income people would still be unable to afford private medical expenses, resulting in a limited number of people turning to private medical services. Suggestion II may not be able to effectively shorten the waiting time for public medical services. Low-income people will not prefer Suggestion II.

High-income people who are concerned about service quality and the cost of seeking medical consultation:

- When the government partially subsidises the consultation fees for public hospital patients to seek treatment at private medical institutions, more patients will go to private medical institutions. With reference to the view of the patients in Source D, this may lead to a shortage of services in private medical institutions and the quality of services may decrease. Moreover, the shortage of services may increase the time cost for high-income people seeking medical consultation. Thus, they will not prefer Suggestion II.
- Since the time cost of seeking medical consultation is generally higher for high-income people, they usually choose to consult private medical institutions. Hiring more non-locally trained medical staff will not have a direct impact on the quality of services they receive or the cost of seeking medical consultation, so they will prefer Suggestion I.

Operators of private medical institutions

- When the government hires more non-locally trained medical staff, more manpower will be available to reduce the workload of medical staff in public medical institutions. Referring to Source A, when their workload decreases, the number of medical staff leaving their jobs may decrease, resulting in a decrease in the number of people seeking employment in private medical institutions. For private medical institutions, the labour supply of medical staff will decrease and the equilibrium wage rate will increase. For operators of private medical institutions, the cost of providing medical services will increase and profits may decrease. Operators of private medical institutions will not prefer Suggestion I.
- When the government partially subsidises the consultation fees for public hospital patients to seek treatment at private medical institutions, the demand for private medical services will increase. The profits of operators of private medical institutions may increase. Operators of private medical institutions will prefer Suggestion II.

Section C (16 marks)

11. (a) Illustrate in the diagram:

- correct position of Q_M

(1 mark)

- correct position of P_M

(1 mark)

(b) Verbal elaboration:

At the profit-maximising output level (Q_M), marginal benefit is higher than marginal cost. (1 mark)

Illustrate in the diagram:

- correct position of the deadweight loss

(1 mark)

(c) Verbal elaboration:

Economic efficiency will be worsened and the deadweight loss will increase since the gap between marginal benefit and marginal cost will widen and the output will be further away from the efficient level. (2 marks)

Illustrate in the diagram:

- rightward shift of the demand curve

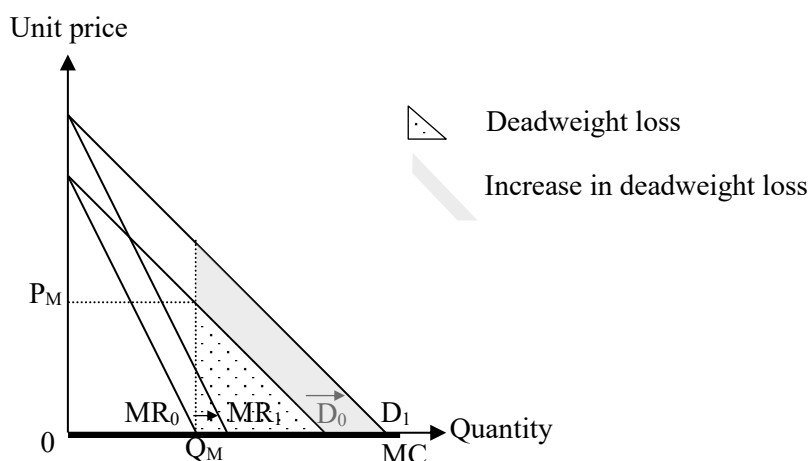
(1 mark)

- correct position of the new marginal revenue curve

(1 mark)

- correct position of the increase in deadweight loss / new deadweight loss

(1 mark)



(d) Yes, because subscribers buying different quantities will end up paying a different price per streaming device for the same service produced at the same cost. (3 marks)

OR

No, because all subscribers are entitled to the same discount and there is no market segmentation. (3 marks)

(e) (i) Market division. (1 mark)

A possible motive:

- MusicNet can raise prices and make more profits in its own market.
- MusicNet would face less competition within its own market.
- MusicNet can save on marketing costs because it can focus on its own market.

- Any reasonable answer

(Mark the **FIRST** point only)

1@, max: 1 mark

(ii) The first conduct rule. (1 mark)

This is a case of an anti-competitive agreement. (1 mark)

12. (a) In Country A and Country B, the marginal costs of producing both good X and good Y are increasing. (2 marks)

(b) Illustrate in the diagram:

- correct position of the tangent line at P_A (1 mark)

- correct position of the tangent line at P_B (1 mark)

Verbal elaboration:

- The slopes of the straight lines are the opportunity costs of producing good X. (1 mark)

- Country B's straight line is flatter than Country A's. (1 mark)

- Country B's opportunity cost of producing good X is lower than that of Country A. (1 mark)

max: 2 marks

(c) (i) Illustrate in the diagram:

- correct position of P_{TA} (1 mark)

- correct position of P_{TB} (1 mark)

(ii) Illustrate in the diagram:

- correct position of CPF_A (1 mark)

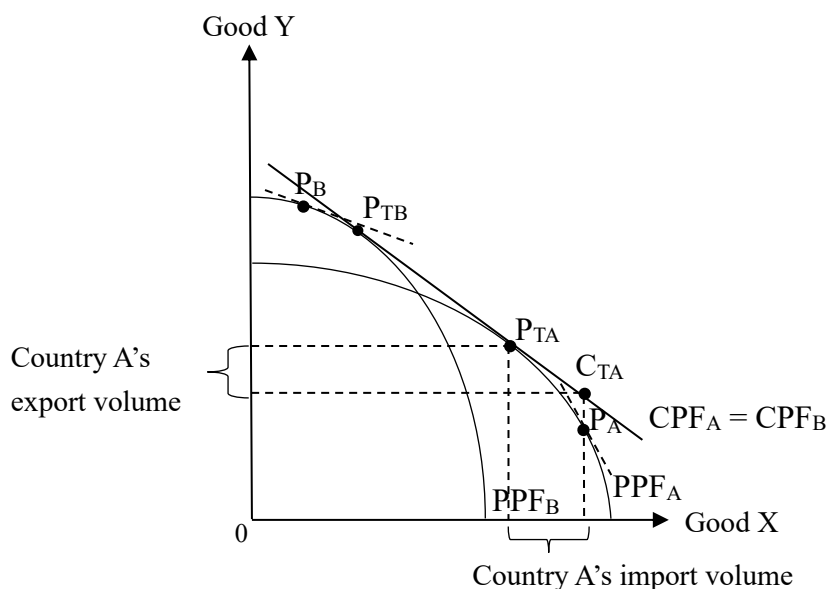
- correct position of CPF_B (1 mark)

(iii) Illustrate in the diagram:

- correct position of C_{TA} (1 mark)

- correct position of export volume (1 mark)

- correct position of import volume (1 mark)



(d) (i) A possible reason:

- People may leave school earlier to participate in international trade.

- Any reasonable answer

(Mark the **FIRST** point only)

1@, max: 1 mark

(ii) Possible reasons:

- Income distribution has become more uneven.
- Pollution has become more serious.
- Leisure time has decreased.
- Any reasonable answers

(Mark the **FIRST TWO** points only)

} 1@, max: 2 marks